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T L DIRECT

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Economic changes and new customer support challenges for TLD

In 1993, when I started to work at TLD, North America airline traffic represented 50% of the world traffic. In the first half of 2010, this percentage has dropped to about 30% and China has become the second economy in the World and is now ready to become, in a few years from now, the first economic power in the world. The emerging countries have taken off and will continue to grow at a faster rate for decades. This is very good for the World and TLD needs to accompany and adapt to these evolutions.

Jointly with these economic changes, the structure of our competition has obviously changed dramatically, as we are now being challenged by new competitors everyday and we will see more and more new players coming and challenging us through aggressive pricing policies that are always appealing to certain customers.

Until now, I believe that TLD has had the right and winning strategy. Its international sales and industrial network, partially located in the emerging countries and its international sourcing of materials have allowed our growth to the point that TLD became the GSE market leader in the mid 2000's.

However, today, what is going to protect our positions and allow us to fight this competition in the coming decade? How can we fight against structurally lower cost players without risking losing a good share of our markets and our jobs?

TLD has decided to play three cards to fight the current challenging conditions: the two first cards are the quality and cost competitiveness of the products and the third one is the quality of its customer support. We believe that most of our competitors can be good in one or two of these areas but being good on the three is very difficult. Being good in the three areas is critical for TLD if we want to remain the leader.

Although we are not perfect and cannot be entirely satisfied, I believe we have progressed and put in place a lot of systematic continuous improvement processes for the quality and cost competitiveness of our products.

In parallel, we can wonder if we've achieved enough in the area of the customer support. There is no doubt that we are present everywhere, there is no doubt that we have established a few good procedures to be effective but I don't think that we have reached yet a level of customer support with an incomparable performance.

In the field of the customer support, do we (all of TLD employees involved) realize the terrible impact felt by our customers when we don't serve them properly? Are we learning enough from our mistakes? Are we reacting and do we systematically put in place corrective actions when mistakes in customer support occur? Does the TLD management review systematically enough any repetitive customer support issue and insure that decisions are taken so it does not happen again?

Frankly, I am not sure that we are there yet and setting up a culture of "continuous improvement" in the field of the customer support must now become one of our main goals.

To insure a better future for TLD, "Reaching new heights" must become "Reaching higher levels of customer support satisfaction". This goal concerns everyone at TLD but in particular its Sales and Service teams and management.

Antoine MAGUIN

The Latest Dispatch

The TXL-838-reGen: now in operation. A TLD innovation for greener airports that keeps its promises.

Since beginning of September 2010, our new TXL-838-reGen is on the field at Bradley Airport (United States).

UPS and FEDEX are experimenting and enjoying this unit.

As the last few months have passed by it has become more and more obvious to the TLD team and more importantly, our customer partners, that the TLD TXL-838-reGen, is keeping its promises. 18 months after TLD defined a battery powered loader specification intended to change the market expectation for autonomy and battery life, the product is demonstrating its impressive capabilities in the field. The main goals were to operate with the speed and power of a diesel loader for a full day of heavy operation up to and beyond the handling of 250 cans before having the need to re-charge. Meeting these lofty goals insures that the TXL-838-reGen has the highest battery autonomy of any DC powered loader on the market today.

For the better part of a year TLD engineers carefully studied the science of battery technology and those aspects of their use that limit their autonomy and longevity. The result was a clear understanding of the need to control the average electric current draw to a minimum level and particularly the peak current draws that are the unavoidable effect when lifting an elevator. It is these current peaks that result in limiting the batteries capacity between charges and its life before it needs to be replaced due to degradation. At the same time TLD studied how to re-use the energy that was available in the lowering of the loader's elevator rather than throwing it away as all loaders do today. These studies resulted in a system design that reclaims energy (reGeneration) and uses it to supplement the battery during its next lift, in a way that avoids the wasteful and harmful spike of current normally required.

The key innovation is the TLD patented method of managing the energy flows through the use of Supercapacitors. The Supercapacitors are able to absorb and return energy to the system at a very fast rate compared to other energy storage devices and therefore lend themselves ideally to the Cargo loading application. The result is a loader that can run more than 2-3 times as long between charges as any other loader on the market today and with a similar advantage for battery life. Many cargo handlers are suspect that battery powered loaders can be an effective green solution, with the need to opportunity charge during the day in order to continue working forcing the need for additional loaders. The TLD TXL-838-reGen puts that concern to rest by being the only battery powered loader today that truly represents a one for one replacement of a diesel loader.

We hope this new development will be an opportunity to gain market shares and to penetrate some areas thanks to this rupture unit.

A TXL-838-reGen-SUP (224" bridge height x 128" wide and 189" elevator height) will be on display at the Inter airport GSE show in Las Vegas this October 2010.



Nicolas VERIN

TLD Life Digest

China - an important but challenging market in GSE for TLD

China is a blooming but almost explosive market for air traffic. Let's first take a look of some interesting figures I read recently from various reports:

- Number of scheduled domestic and international passengers on U.S. airlines and on flights to and from the United States on foreign airlines declined in 2009 by 5.3 percent from 2008, dropping to 769.6 million.
- China's airports handled 486.1 million passengers in 2009, and exceeded the combined total of Germany and Spain, according to Li Jiaxiang, director of the Civil Aviation Administration of China (CAAC).
- Chinese air traffic was up 15% in 2009 despite of the global economic downturn and the H1N1 flu virus.
- China civil airlines currently have 1,620 aircrafts in service but ballooning domestic demand is likely to see this number grow by additional 3,700 over the next 20 years, according to a Boeing report.
- China's aviation industry will buy 100 new jetliners and recruit 1,000 pilots every year for the next five years.
- Beijing Capital Airport handled a 65.3 million passenger traffic in 2009 which represented 13% of the country scheduled capacity and is also ranked, after Atlanta International Airport & London Heathrow Airport, no. 3 world busiest airport.
- Currently total 96 airlines operate scheduled services across 175 airports in China.
- Every day, there are more than 13,000 take-offs and landings in China.

- The traffic of the Chinese airports grew on average, between 2004 and 2009, of 17.8% per annum for the passengers and 16.8% per annum for freight. 2009 marked a strong growth of 19.8% for the passengers despite the economic downturn, and 7% for freight. It is estimated that compound annual growth rate for next 10 years will be 10.5% to 13.5%.

I am sure one would admit, after reading above figures, China is an important market for TLD.

TLD has been servicing China since 1980 by supplying products from TLD factories outside China like ASU, GPU, ACU, Loaders, Towbarless tractors and Passenger Step etc. In 1998, we started to supply GSE made in Shanghai. More and more GSE could be manufactured in China in the past 10 years and it becomes very obvious that foreign suppliers could become less influential to the market if they can't manufacture in China the same which is available locally. Thanks to our RANGER and MASTER program, I am proud to say that we are the only foreign company who can manufacture a wide range of GSE product locally and is well respected by the local industry.

There are typically two major types of customer in every China airport, namely ground handling company that belongs to Airlines & Airport Authority. In some cases, Airport authority has a *joint venture* with a foreign company like Beijing Aviation Ground Services Company, a *joint venture* company between Singapore SATS and Beijing Airport Authority; Xian DNATA Aviation Services Co.Ltd, a *joint venture* company between DNATA and China West Airport Group. Annual budget spent on GSE that TLD can supply is estimated at 50 to 60 millions USD.

TLD Life Digest

However, China is a huge but complicated market which requires special attention & strategy to cope with customers' needs. One of our challenges is how to increase the market share of our RANGER & MASTER products in China. Chinese customers could easily accept equipment with latest technology like Towbarless tractor (China remains the no. 1 country in Asia in terms of Towbarless tractors quantity) and pay an above average price for this technology since no local manufacturer can build the same. But on the other hand many local products with much inferior specifications, which are 15 years behind the current international standard, are widely accepted and used in China by smaller airports and local airlines. Nevertheless budgets of these kinds of customers are close to 40 to 50% of the whole China market.

Another difficulty foreign GSE manufacturers are facing is the necessary CAAC (Civil Aviation of China) certificate required for every imported GSE to be sold in China provided that there is local competition for the same. The process of applying for this certificate can be very time consuming and meeting the definition of local specifications and safety requirements require sometime diplomatic means. Not every foreign GSE manufacturer is ready to go through this process and that is why we don't see any more certain foreign manufacturers competing in China. Nevertheless, key loader players, for example, have applied for the certificates for their loaders and we are still competing hard in China; just like what we do in other countries.

In the last three years, we managed to obtain certificates for imported products like ASU of 180, 270 & 300 PPM, ACU for 115 Ton, Loaders 828, 838 and 929 and 180 KVA GPU. We are about to start applying for the certificate for TMX-250 in August and expect to

obtain the approval before end of October 2010. Needless to say, all products made in China must be qualified for the CAAC certificate before they can be sold in China. China may be the only country in the world that Civil Aviation Authority is involved in issuing 'license' for sale of GSE.

With the size of the country and rapid development of aviation industry in the past 20 year, a local company called WeiHai has grasped this opportunity to develop themselves as the biggest GSE manufacturer in China. In terms of product range, WeiHai can supply a very comprehensive range of GSE; from Deicing to Refueler; from Diesel GPU to solid state 400 Hz; from Loader to conventional aircraft tractor; from belt loader, passenger step to catering and ambulift. Many of you may know how important Guanxi (Chinese word meaning Relationship) is in China if you want to be successful in our business. In their sales approach, our Area Sales Managers must cautiously create the right Guanxi.

Currently WeiHai and TLD are considered the two major suppliers in China and usually people would say that they are the market leader and use the sales revenues to stake their claim. I do have a different view that we are the leading supplier based on two factors: Satisfying our customers and being innovative in product development in the industry.

We will continue to fight for increasing our market share in China and I am optimistic in our success in this challenging market, as our China teams are responding to the market needs and competitions with a close co-operation between Sales and factory. At the same time, we look forward to improving our Guanxi with customers slowly but surely.

Allen FU

The last development of TLD Wuxi

18 months have passed since the Grand Opening in early 2009 and TLD Wuxi is now definitely on its way to rapid growth.

Master Program: with the full support from TLD Sherbrooke and TLD Shanghai, TLD Wuxi is now qualified to provide TLD loader TXL-838 to the domestic market, which makes TLD the first international GSE manufacturer to produce a world class and sophisticated product like a loader in China. It provides our China Sales team with a new weapon to face more and more tough competitions against both domestic and international GSE players. We delivered our first unit to an important airline in China and then came a new order of 3 units from a domestic cargo airline. The most recent order is from a regular and important customer of TLD loaders in China, and this time, a closer co-operation has been developed with this customer. Based on years of experiences on operating all brands of loaders, this airline requested TLD to develop a special extension option on our TXL-838 to eliminate the use of slave pallets. Under the strong support from the Master Plant Sherbrooke, TLD Wuxi caught this precious opportunity to produce a unique loader on the market. The first unit is scheduled to be tested by the end of this year.

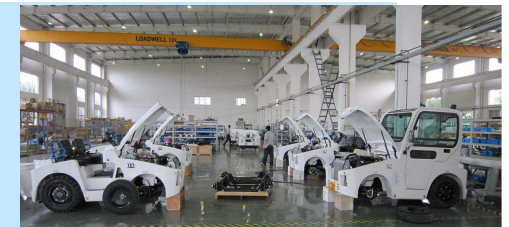
Ranger Program: 7 tractors TMX-450 have already been delivered from TLD Wuxi to Asia and US markets, and the 8th machine currently in production is heading to Japan with, for the first time for TLD Wuxi, a GPU option to be installed on the tractor. Of course, the best seller of our push-back tractors is still the TMX-150 series. We are now booked at a pace of 6-7 units per months until the beginning of next year! The Ranger family produced in TLD Wuxi will be soon enlarged by LSP/WSP lines; this will help TLD Shanghai to focus on new projects like the compact passenger stairs ABS/ABT-2045.

Located closer to the main components suppliers for LSP/WSP, TLD Wuxi will benefit from reduced logistic costs to meet the increasing demand of this product line, and the pre-assembled kits supplied to other Ranger plants via the Group Sourcing program.

JST baggage tractor: after some early difficulties, the assembly of this product line, initially subcontracted, has been transferred to the Wuxi factory. Needless to say that the key word is and will always be QUALITY! We have been reviewing components and their suppliers one by one to make sure that they comply with TLD standard and, after making a few important changes, we believe that we have brought the product to the quality and reliability level that allows TLD to reconquer the market. A dedicated assembly line has been created, and we have the ambition to produce 15, 20 or even 30 JST per month in Wuxi.

With the growing activities, the current Wuxi site (rented) starts to show its physical limits and that is why we are starting to plan to build our own larger facility on a land of 3.3 hectares already purchased.

Tang XIANG



The Last Development in Windsor

ASU-600 Series Air Start Control System Upgrade

TLD Windsor has recently upgraded its range of Air Start Units to provide better control, higher efficiency and easier use.

The implementation of digital controls on the ASU-600 Series Air Start Unit allows the engine to operate at a lower, more efficient speed for all air start operations. This lower speed equates to lower fuel consumption, which of course results in lower costs for the equipment owner.

The digital control system upgrade includes additional sensors to allow more precise control and enhancements to the unit's protection system. The improved protection system ensures greater thermal protection for the compressor, as well as automatic compensation for altitude. Furthermore, this design has eliminated the potential for drifting or mis-adjusted regulators further improving unit reliability.

The new operator interface simplifies unit control while giving the user access to in-depth unit operating information. Troubleshooting and maintenance are simplified with the new digital control system, contributing to a lower Total Cost of Ownership for this product improvement.

TLD Windsor focused on maintaining the same high level of reliability found in the current ASU-600 Series Air Start, and successfully conducted endurance testing on the completed unit and the new individual components.

The ASU-600 Series Air Start will feature this new digital control system as the standard control system by the end of 2010. This control system upgrade was completed without impacting the Transfer Price of the Air Start Unit – a very effective way to reduce the customer's Total Cost of Ownership.

Peter OWITZ



TLD people

The TLD Sourcing team in China: supporting TLD sister factories and SAGE

Since the Group Sourcing Team (GST) has been set up in Shanghai in 2003, its action to support TLD factories has tremendously increased up to today's blistering pace: about 30 containers shipped every month, more than 100 Chinese suppliers and 150 sourcing projects, more than RMB5.5 millions (USD 0,81 millions) monthly purchases. It is now a 7 member team lead by Jean-Baptiste HEISSAT (GST manager), and composed by 3 sub teams:

Sourcing: HAN Feng: Senior Sourcing Officer - and WANG Cai Xia (Cherry) - Sourcing engineer,

Quality: LIN Zhi Gang (Cary) - Senior Weldment Engineer - and ZHANG Ming - Quality control Engineer,

Logistics: KANG Dan Ling - Logistics Coordinator for Americas- and WU Jing Jing (Vivian) - Logistics coordinator for France.

2 other open positions in Sourcing and Quality should be filled before the end 2010 in order to better support the group activity and offer a professional and more efficient supply chain service.

Regarding warehousing and container loading, Shanghai factory is providing its useful support to these daily tasks.

GST is primarily serving ALVEST/TLD facilities located outside of China – Saint-Lin, Montlouis, Windsor, Sherbrooke and SAGE - but there are also lots of interactions with Shanghai and Wuxi factories. GST is at the crossroads of factories activity and is really playing a key role at the TLD group level to offer competitive solutions while ensuring that TLD quality standards and working procedures are respected.

A role of the GST team is also also to raise the proficiency of its existing suppliers to insure that they meet the evolving expectations of our market.

At the same time, GST is learning a lot from the different TLD sites, gathering and retaining the best supply chain work practices and applying them to its own missions in China.

Therefore, GST team can really be considered as an intra group sourcing and supply chain management department serving sister companies. It uses the synergies between the different sourcing projects and logistics activities within to China to leverage quantities and service from to local vendors and get the best results out of it. It is totally different than a classic broker or vendor as it is exclusively dedicated to the group and provides a fully transparent activity.

Today, the Group Sourcing Team has several new members - 42% of the team has less than 3 months experience in TLD - who are facing the challenge of increasing production demand from our sister factories, while they also have to learn our processes. They are rapidly getting up to speed and are already helping the team to live up the expectations of the sister plants. Your patience and help is most appreciated. We are now ready to bring you an improved contribution.

Jean-Baptiste HEISSAT



Left to Right, front:
WANG Cai Xia
KANG DanLing
WU JingJing

Left to Right, rear:
JB HEISSAT
HAN Feng
LIN Zhi Gang
ZHANG Ming

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The Latest Dashboard

T L Dash board (in M€uros)

(Year to date-end of AUGUST figures)

TLD Sales	2010-08		2010/2009 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	25,2	28,3%	22,5%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	43,6	49,1%	<16,4>%
GSE - AREA ASIA	11,5	12,9%	23,5%
Other activities (Adhésives solutions)	8,6	9,7%	<1,0>%
TOTAL TLD SALES	88,9	100%	<2,0>%

